SchoolStack Budget

Lender-Ready Financial Packet

Summit Scholars Charter

5-Year Financial Model
Prepared March 29, 2026

Lender Readiness: Not Yet Ready

Your model is a solid starting point, and now it's time to refine it. Focus on the high-priority recommendations first, and you'll see real progress. Every great school's financial story started as a first draft.

Packet Contents

This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Executive Summary

Summit Scholars Charter projects $9,215,000 in Year 5 revenue, with 8 of 14 key metrics that need attention. This is a starting point, and working through the recommendations below will help you build the financial story your mission deserves.

[ ] Lender Readiness: Not Yet Ready
[ ] Biggest Strength: Healthy per-student revenue
[ ] Biggest Risk: Year 1 projects a $938,543 shortfall, which is very common for early-stage schools and worth planning around
[ ] Cash Runway: 1 months

School Overview

Summit Scholars Charter is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a Public Funded (Charter) funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Charter School**
Funding Profile **Public Funded (Charter)**
Entity Type **501(c)(3) Nonprofit**
State **OH**
Opening Year **2026**

Enrollment Plan

Enrollment starts at 500 students in Year 1 and grows to 900 by Year 5 (80% growth).

Enrollment by Year

Year	Students
Year 1	500
Year 2	625
Year 3	740
Year 4	840
Year 5	900

Supporting Assumptions

Year 1 Enrollment **500**
Year 2 Enrollment **625**
Year 3 Enrollment **740**
Year 4 Enrollment **840**
Year 5 Enrollment **900**

Revenue Model

The revenue model is primarily publicly funded (93.9% of Year 1 revenue). Year 1 total revenue is projected at $5.3M, growing to $9.2M by Year 5.

[ ] Tuition %: 0.2%
[ ] Public Funding %: 93.9%
[ ] Philanthropy %: 6.0%

Revenue by Year

Year	Total Revenue
Year 1	$5.3M
Year 2	$6.5M
Year 3	$7.6M
Year 4	$8.6M
Year 5	$9.2M

Supporting Assumptions

State / Local Per-Pupil Revenue **$4.3M**
Title I — Low-Income Students **$200K**
Title II — Teacher Quality **$22K**
IDEA — Special Education **$108K**
Food Service Reimbursement **$175K**
Transportation Funding **$100K**
Charter School Program (CSP) Grant **$250K**
Annual Fund / Unrestricted Giving **$20K**
Board Giving / Board Commitments **$15K**
Donations / Fundraising **$30K**
... and 1 more (see Appendix)

Staffing Plan

Staffing costs are $3.5M in Year 1, representing 66.2% of revenue. This is above the typical 50-60% benchmark and may need monitoring.

[~] Staffing % of Revenue: 66.2%

Supporting Assumptions

Executive Director / CEO **$120,000, 1 FTE**
Principal **$95,000, 1 FTE**
Dean of Students **$78,000, 1 FTE**
Dean of Academics **$80,000, 1 FTE**
Core Teachers (ELA, Math, Science, SS) **$52,000, 14 FTE**
Specials Teachers (Art, Music, PE, Tech) **$48,000, 4 FTE**
Special Education Teachers **$54,000, 3 FTE**
ELL / Bilingual Teachers **$50,000, 2 FTE**
Instructional Aides / Paraprofessionals **$30,000, 4 FTE**
School Counselor(s) **$56,000, 2 FTE**
... and 10 more (see Appendix)

Expense Summary

Total expenses grow from $6.5M in Year 1 to $9.0M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	$3.5M	$2.9M	$89K	$6.5M
Year 2	$4.8M	$2.4M	$89K	$7.2M
Year 3	$5.2M	$2.7M	$89K	$8.0M
Year 4	$5.6M	$2.9M	$89K	$8.6M
Year 5	$5.8M	$3.1M	$89K	$9.0M

Capital & Debt

The model includes 2 debt instruments totaling $750K.

Supporting Assumptions

Facility Improvement Loan **$650K at 6.0% for 15 years**
Equipment Financing **$100K at 5.5% for 5 years**

5-Year Financial Projection

The model reaches break-even in Year 5. Year 5 change in net assets is projected at $217K (2.4% margin).

[+] Revenue per Student (Year 1): $10,570 (benchmark: Charter avg: $10,000–$15,000)
[!] Cost per Student (Year 1): $13,845 (benchmark: Target: "d 85% of revenue per student)
[!] Staffing Cost (% of Revenue): 66.2% (benchmark: Industry avg: 50–65% of revenue)
[!] Operating Cost (% of Revenue): 51.6% (benchmark: Target: under 30% of revenue)
[!] Net margin (Year 1): -17.8% (benchmark: Startup target: 0–5%; mature: 10%+)
[~] Net margin (Year 5): 6.5% (benchmark: Target: 10–15%+)
[+] 5-Year Revenue Growth: 74.4% (benchmark: Healthy schools: 30–80% over 5 years)
[+] Capacity Utilization (Year 5): 100.0% (benchmark: Optimal: 80–95% utilization)

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	500	$5.3M	$6.5M	$-1.2M	-23.2%
Year 2	625	$6.5M	$7.2M	$-706K	-10.9%
Year 3	740	$7.6M	$8.0M	$-362K	-4.8%
Year 4	840	$8.6M	$8.6M	$-35K	-0.4%
Year 5	900	$9.2M	$9.0M	$217K	2.4%

Cash Flow Analysis

Cash goes negative in month 1. The school will need additional funding or cost adjustments.

[ ] Cash Runway: 1 months

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	$-939K	0.0 months
Year 2	$-1.4M	0.0 months
Year 3	$-1.5M	0.0 months
Year 4	$-1.2M	0.0 months
Year 5	$-554K	0.0 months

Debt Service Coverage

DSCR is below 1.0x, meaning the school cannot cover debt payments from operating income alone. This needs to be addressed. Current DSCR is N/A. Benchmark: Healthy minimum: 1.25x.

[!] Debt Service Coverage Ratio (Year 1): N/A (benchmark: Healthy minimum: 1.25x)
[!] Year 1 Reserve Months: 0.0 months (benchmark: Target: 3+ months)
[!] Year 2 Reserve Months: 0.0 months (benchmark: Target: 3+ months)
[!] Year 3 Reserve Months: 0.0 months (benchmark: Target: 3+ months)
[!] Year 4 Reserve Months: 0.0 months (benchmark: Target: 3+ months)
[!] Year 5 Reserve Months: 0.0 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **N/A**
Benchmark: **Healthy minimum: 1.25x**
Trend: **DSCR is below 1.0x, meaning the school cannot cover debt payments from operating income alone. This needs to be addressed.**

Operating Reserve Analysis

Year	Reserve Months	Status
Year 1	0.0 months	Insufficient
Year 2	0.0 months	Insufficient
Year 3	0.0 months	Insufficient
Year 4	0.0 months	Insufficient
Year 5	0.0 months	Insufficient

Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even
Enrollment 20% Below Plan	$-419K	$1.5M	Year 2
Loss of Philanthropy	$-1.2M	$461K	Year 4
Occupancy +15%, Personnel +5%	$-1.2M	$196K	Year 5
Revenue Delayed 3 Months	$-1.2M	$596K	Year 4
Interest Rate +2%	$-948K	$586K	Year 4

Lender Readiness

Lender Readiness: Not Yet Ready. Your model is a solid starting point, and now it's time to refine it. Focus on the high-priority recommendations first, and you'll see real progress. Every great school's financial story started as a first draft.

[!] Readiness Level: Not Yet Ready

Financial Health Assessment

Across 8 health dimensions: 1 healthy, 2 on watch, 5 at risk.

[~] viability: Watch closely
[!] liquidity: Needs attention
[!] staffing burden: Needs attention
[+] facility burden: Healthy
[!] debt affordability: Needs attention
[~] revenue concentration: Watch closely
[!] days cash: Needs attention
[!] reserve strength: Needs attention

Health Dimensions

Dimension	Status	Details
Viability	Watch closely	The model reaches break-even by Year 4, but margins remain thin. A revenue shortfall could push it negative.
Liquidity	Needs attention	Cash goes negative in month 1. The school will need outside funding to continue operating.
Staffing Burden	Needs attention	Staffing at 66% of revenue is above the sustainable range. There's too little left for everything else.
Facility Burden	Healthy	Facility costs at 7% of revenue are well-managed and leave budget for programs.
Debt Affordability	Needs attention	DSCR of -0.34x means operating income does not cover debt payments. This must be resolved.
Revenue Concentration	Watch closely	94% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Days Cash	Needs attention	Only 0 days of cash on hand — well below the 45-day minimum. The school is at risk of running out of cash.
Reserve Strength	Needs attention	Less than 1 month of reserves by Year 5. The school has no financial cushion.

Key Risks

8 risk factors have been identified. Of these, 3 are rated critical and should be addressed prior to lender submission.

[!] Cash goes negative: critical
[!] Debt payments exceed operating income: critical
[!] Cash runway is short: critical

CRITICAL

Cash goes negative

Negative cash means the school cannot pay its bills without outside funding. Lenders and authorizers will flag this immediately.

Evidence: Deepest shortfall: -$1,460,978 | Years negative: 1, 2, 3, 4, 5

Mitigation: Identify how you'll bridge the $1,460,978 gap — startup grants, a line of credit, or phased expense reductions. Then adjust your revenue or cost assumptions to close it faster.

CRITICAL

Debt payments exceed operating income

A DSCR below 1.0x means every dollar of debt service requires outside cash. No lender will approve this without a clear path to improvement.

Evidence: DSCR: -0.34x | Annual debt service: $698,742 | Minimum target: 1.25x

Mitigation: Reduce loan amounts, extend terms, or increase revenue before committing to this debt load. Consider whether the capital expenditure can be phased.

CRITICAL

Cash runway is short

A short cash runway means you need revenue to arrive on schedule with no delays. Any hiccup — late tuition payments, delayed public funding, or unexpected costs — could create a cash crisis.

Evidence: Cash runway: 1 months | Target: 18+ months

Mitigation: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.

HIGH

Liquidity

Cash goes negative in month 1. The school will need outside funding to continue operating.

Evidence: liquidity: Needs attention

Mitigation: Build operating reserves through fundraising, lines of credit, or phased expense deployment to maintain adequate cash position.

HIGH

Staffing burden

Staffing at 66% of revenue is above the sustainable range. There's too little left for everything else.

Evidence: staffing burden: Needs attention

Mitigation: Evaluate staffing ratios against enrollment growth and consider phased hiring aligned to revenue milestones.

HIGH

Debt affordability

DSCR of -0.34x means operating income does not cover debt payments. This must be resolved.

Evidence: debt affordability: Needs attention

Mitigation: Restructure debt terms, extend maturities, or increase operating income to improve Debt Service Coverage Ratio.

HIGH

Days cash

Only 0 days of cash on hand — well below the 45-day minimum. The school is at risk of running out of cash.

Evidence: days cash: Needs attention

Mitigation: Monitor this metric and develop a remediation plan if trends persist.

HIGH

Reserve strength

Less than 1 month of reserves by Year 5. The school has no financial cushion.

Evidence: reserve strength: Needs attention

Mitigation: Establish a reserve fund policy targeting 3-6 months of operating expenses.

[!] Cash goes negative: critical
[!] Debt payments exceed operating income: critical
[!] Cash runway is short: critical

See Appendix for complete assumption details.

Appendix: Key Assumptions

Complete list of 41 assumptions used in this financial model.

Supporting Assumptions

School Name **Summit Scholars Charter**
School Type **Charter School**
Entity Type **501(c)(3) Nonprofit**
Funding Profile **Public Funded (Charter)**
State **OH**
Year 1 Enrollment **500**
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